

September 16, 2026

Aseem Infrastructure Finance limited: [ICRA]A1+ assigned to CP; short-term rating reaffirmed; long-term rating Continue on Watch with Developing Implications; rating withdrawn for matured instruments

Summary of rating action

Instrument*	Previous rated amount (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial sector regulator#
Commercial paper	0.00	2,000.00	[ICRA]A1+; assigned	RBI
Non-convertible debenture	1,897.50	1,897.50	[ICRA]AA+; Continue on Watch with Developing Implications	SEBI
Subordinated bonds/Debt	250.00	250.00	[ICRA]AA+; Continue on Watch with Developing Implications	SEBI
Long-term/Short-term-fund-based/Non-fund based – Others	14,000.00	14,000.00	[ICRA]AA+; Continue on Watch with Developing Implications/[ICRA]A1+; reaffirmed	RBI
Non-convertible debenture	252.50	0.00	[ICRA]AA+; Continue on Watch with Developing Implications and withdrawn	SEBI
Total	16,400.00	18,147.50		

*Instrument details are provided in Annexure-I

The Securities and Exchange Board of India's (SEBI) grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments that fall under the regulatory purview of financial sector regulators other than SEBI

Rationale

The long-term rating for Aseem Infrastructure Finance Limited (AIFL) remains on Watch with Developing Implications due to the proposed changes in the shareholding structure, which involve the proposed sale of the entire stake by the existing shareholders – National Investment and Infrastructure Fund (NIIF) through its Strategic Opportunities Fund (SOF; 59.05%), the Government of India (GoI; 30.95%), and Sumitomo Mitsui Banking Corporation (SMBC; 10%) – to TPG Nicobar SG Pte. Ltd. [held by TPG Rise Climate Fund (70.2%; climate investing platform of TPG) and CLYDO Investments Pte. Ltd. (29.8%; wholly owned subsidiary of GIC Singapore)]. The transaction has been noted by the Board of AIFL and has received the requisite Competition Commission of India (CCI) approval and is now subject to approval from the Reserve Bank of India (RBI). ICICI Bank is expected to hold up to 5% stake in AIFL in a subsequent step to the proposed sale transaction.

The board has also approved the sale of the company's entire 30.83% stake in NIIF Infrastructure Finance Ltd. (NIIF IFL) to NIIF II for ~Rs. 1,750 crore. Following this, NIIF IFL will cease to be an associate company.

The ratings for AIFL at present derive strength from its parentage, NIIF SOF and the GoI. ICRA will continue to monitor the developments related to the requisite approvals, developments pertaining to the company's business/operations, financial profile as well as the financial policy of the incoming investor and shall take appropriate actions as and when required.

ICRA also notes, that AIFL's portfolio growth is expected to moderate in the near-term, following the realignment of its focus towards green financing, resulting in a reduction in non-green credit exposures. Upon the consummation of the transaction, the gearing is expected to decline to less than 3.0 times due to the reduction in the company's assets under management (AUM), internal profit accruals and capital accretion arising from the profit on the NIIF IFL stake sale. As on June 30, 2026, AIFL had available liquidity comprised cash and liquid investments of Rs. 1,848 crore and unutilised bank lines of Rs. 1,654 crore.

The ratings also factor in AIFL's track record of strong asset quality, its experienced management team and adequate capitalisation profile. ICRA notes that the company has been in operations for about six years (commenced lending operations in August 2020) in relation to the relatively higher average tenure of its loan book. In this regard, ICRA observes that the company has scaled up its AUM to Rs. 17,632 crore as on June 30, 2026, with 77% of the exposures towards operational projects. AIFL has maintained NIL delinquencies since inception. Although AIFL is exposed to risks, especially for under-construction projects due to project execution risks, it has partially mitigated the same by being selective in lending to projects with relatively better credit profiles and to those nearing completion, many of which have successfully achieved their completion and commercial operation dates.

ICRA has reaffirmed and withdrawn the rating assigned to the Rs. 252.50-crore non-convertible debentures (NCDs), in accordance with its policy on the withdrawal of credit ratings, as the instruments have matured and have been fully repaid.

Key rating drivers and their description

Credit strengths

Strong parentage and strategic importance to GoI – AIFL's current ratings reflect its strong parentage, particularly NIIF II (SOF), which continued to hold a 59% stake as on June 30, 2026, the GoI (31% through direct investment), and SMBC (10%). NIIF is an investor-owned fund manager, anchored by the GoI in collaboration with leading global and domestic institutional investors. It is a collaborative investment platform for international and Indian investors seeking investment opportunities in infrastructure and other high-growth sectors of the country. NIIF's strong financial flexibility and quasi-sovereign ownership support AIFL's credit profile.

Adequate capitalisation for near-term growth – AIFL has adequate capitalisation for growing its book as per its business plans over the near term while keeping the managed gearing¹ at 4-4.5 times. It reported a net worth of Rs. 3,683 crore as on June 30, 2026 (Rs. 3,614 crore as on March 31, 2026) and a managed gearing of 4.5 times (4.6 times as of March 2026), supported by regular capital raising (~Rs. 2,550 crore raised since inception) and positive internal accruals since FY2021. Upon consummation of the transaction, the gearing is expected to decline to less than 3.0 times due to the reduction in AUM, internal profit accruals and capital accretion arising from the profit on the stake sale in NIIF IFL.

The company enjoys good financial flexibility, with the ability to raise funds at competitive rates of interest from a diverse set of lenders, owing to its strong parentage and linkages with the GoI. As on June 30, 2026, AIFL had total borrowings of Rs. 16,344 crore, comprising a mix of bank loans (70%), NCDs (17%), commercial paper (CP; 8%), and external commercial borrowings (ECB; 5%). The company's ability to continue to build and diversify its funding profile over the short-to-medium term would remain a key monitorable.

Credit challenges

Moderate, albeit, growing scale of operations; profitability metrics remain moderate – AIFL commenced lending operations in August 2020 and has scaled up the AUM to Rs. 17,632 crore as on June 30, 2026 (Rs. 18,264 crore as on March 31, 2026), although its market share in the infrastructure financing sector remains moderate. ICRA notes that the company has been in operations for about six years in relation to the relatively higher average tenure of its loan book. As on June 30, 2026, 77% of the projects funded by AIFL were operational while delinquencies have been nil since inception. Nonetheless, the portfolio remains vulnerable to asset quality shocks in case of slippages in a few exposures, which could adversely affect profitability. While risk arises especially in the under-construction projects portfolio due to project execution factors, AIFL has partially mitigated the risk by being selective in lending to projects with relatively better credit profiles and to those nearing completion, many of which have successfully achieved their completion and commercial operation dates.

AIFL's return on managed assets (RoMA) increased to 1.9% in FY2026 from 1.7% in FY2025 supported by the expansion in the net interest margin (NIM; due to decline in weighted average funding cost) and low credit costs. However, RoMA decreased

¹ Managed gearing = (Total on-balance sheet borrowings + Off-book portfolio)/Net worth

to 1.5% in Q1 FY2027 on account of compression in NIM despite the range-bound operating expenses ratio and low credit costs. The compression in NIM in Q1 FY2027 was on account of rise in the weighted average funding cost and higher on-book liquidity maintained by AIFL (~Rs. 2,785 crore in Q1 FY2027 compared to ~Rs. 658 crore in FY2026) in preparation for the proposed sale transaction and geopolitical scenario. Notwithstanding the moderation in Q1 FY2027, ICRA expects NIM and RoMA to steadily improve over the coming quarters.

Liquidity position: Adequate

As on June 30, 2026, AIFL had liquidity in the form of cash and liquid investments of Rs. 1,848 crore and unutilised bank lines of Rs. 1,654 crore, along with the expected cash inflow of Rs. 7,996 from advances over the next one year, providing adequate liquidity cover over the debt repayments of Rs. 6,244 crore during the above-mentioned period. The company has raised long-term funds in line with the long-term maturity profile of the assets it funds, which augurs well for its liquidity profile. Its asset-liability maturity (ALM) profile, as on June 30, 2026, reflected positive cumulative mismatches across all buckets up to 1 year.

Rating sensitivities

Positive factors – Achieving a significant scale of operations across diversified sectors, while maintaining strong asset quality and improving profitability, would be a credit positive.

Negative factors – A significant change in the likelihood of support from the proposed sponsors or key shareholders could warrant a rating downgrade. Pressure on AIFL's ratings could emerge on substantial worsening of its capitalisation profile and/or weakening of the asset quality, resulting in a deterioration in its solvency on a sustained basis.

Analytical approach

Analytical approach	Comments
Applicable rating Methodologies	Non-Banking Finance Companies (NBFC) Policy on Withdrawal of Credit Ratings
Parent/group Support	The ratings at present derive strength from AIFL's parentage, with 59% of the shares held by NIIF, 31% held by the GoI and 10% held by SMBC as on March 31, 2026. NIIF is an investor-owned fund manager anchored by the GoI in collaboration with global and domestic institutional investor
Consolidation/standalone	Standalone

About the company

Incorporated in May 2019, AIFL is registered as a non-banking financial company-infrastructure finance company (NBFC-IFC) with the Reserve Bank of India (RBI). It received its IFC license from RBI in January 2020 and commenced operations from August 2020. The company funds infrastructure projects across various phases with a mix of operating, brownfield, and greenfield assets within regulatory guidelines. As on June 30, 2026, its AUM stood at Rs. 17,632 crore, with operational projects comprising 77%.

The company reported a profit after tax (PAT) of Rs. 74 crore in Q1 FY2027 on total managed assets of Rs. 20,395 crore as on June 30, 2026 compared to PAT of Rs. 346 crore in FY2026 on total managed base of Rs. 20,245 crore as on March 31, 2026. Its net worth stood at Rs. 3,683 crore with a managed gearing of 4.5 times as on June 30, 2026. Gross non-performing advances (GNPAs) were nil as on June 30, 2026.

Key financial indicators (audited)

Aseem Infrastructure Finance Limited	FY2025	FY2026	3MFY2027
	Audited	Audited	Provisional
Total Income	1,466	1,664	458
Profit after tax (PAT)	262	346	74
Total managed assets	16,782	20,245	20,395
Return on average managed assets (RoMA)	1.7%	1.9%	1.5%
Managed gearing (times)	4.2	4.6	4.5
Gross NPA	0.0%	0.0%	0.0%
CRAR	17.7%	18.7%	19.4%

Source: Company, ICRA Research; All ratios are as per ICRA's calculations; Amount in Rs. crore.

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating History for past three years

Instrument	Current rating (FY2027)					Chronology of rating history for the past 3 years					
	Type	Amount rated (Rs crore)	September 16, 2026	FY2027		FY2026		FY2025		FY2024	
				Date	Rating	Date	Rating	Date	Rating	Date	Rating
Commercial Paper	Short-term	2000.00	[ICRA]A1+		-	-	-	-	-	-	-
Non-convertible Debenture	Long-term	1897.50	[ICRA]AA+ Rating Watch with Developing Implications	May 21, 2026	[ICRA]AA+ (Stable)	May 30, 2025	[ICRA]AA+ (Stable)	May 29, 2024	[ICRA]AA+ (Stable)	May 30, 2023	[ICRA]AA+ (Stable)
				July 10, 2026	[ICRA]AA+ Rating Watch with Developing Implications	-	-	June 28, 2024	[ICRA]AA+ (Stable)	-	-
Subordinated Bonds/Debt	Long-term	250.00	[ICRA]AA+ Rating Watch with Developing Implications	May 21, 2026	[ICRA]AA+ (Stable)	May 30, 2025	[ICRA]AA+ (Stable)	-	-	May 30, 2023	[ICRA]AA+ (Stable)
				July 10, 2026	[ICRA]AA+ Rating Watch with Developing Implications	-	-	-	-	-	-
Fund-based/Non-fund based - Others	Long-term/Short-term	14000.00	[ICRA]AA+ Rating Watch with Developing Implications/[ICRA]A1+	May 21, 2026	[ICRA]AA+ (Stable)/[ICRA]A1+	May 30, 2025	[ICRA]AA+ (Stable)/[ICRA]A1+	May 29, 2024	[ICRA]AA+ (Stable)/[ICRA]A1+	-	-
				July 10, 2026	[ICRA]AA+/[ICRA]A1+; Rating Watch with Developing Implications/[ICRA]A1+; outstanding	-	-	June 28, 2024	[ICRA]AA+ (Stable)/[ICRA]A1+	-	-
Market Linked Debenture	Long term	-	-	May 21, 2026	PPMLD[ICRA]AA+ (Stable); withdrawn	May 30, 2025	[ICRA]AA+ (Stable)	May 29, 2024	[ICRA]AA+ (Stable)	May 30, 2023	[ICRA]AA+ (Stable)
					-	-	-	June 28, 2024	[ICRA]AA+ (Stable)	-	-

Complexity Level of the Rated Instruments

Instrument	Complexity indicator
Commercial Paper	Simple
Long-term/Short-term - Fund-based/Non-fund based - Others	Simple
Non-convertible Debenture	Simple
Subordinated Bonds/Debt	Simple

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional, or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details[^]

ISIN	Instrument name	Date of issuance /Sanction	Coupon rate	Maturity date	Amount rated (Rs. crore)	Current rating and outlook	Financial Sector Regulator#
INE0AD507168	Non-convertible debenture	Jul-31-2025	7.70%	Dec-24-2026	250	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
INE0AD507093	Non-convertible debenture	Sep-05-2022	8.25%	Sep-03-2027	650	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
INE0AD507192	Non-convertible debenture	Oct-10-2025	7.68%	Oct-08-2027	250	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
INE0AD507176	Non-convertible debenture	Aug-18-2025	7.64%	Jan-18-2029	95	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
INE0AD507176	Non-convertible debenture	Nov-27-2025	7.64%	Jan-18-2029	100	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
INE0AD507143	Non-convertible debenture	Jul-31-2025	7.70%	Mar-27-2029	2.5	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
INE0AD507184	Non-convertible debenture	Aug-18-2025	7.73%	Aug-16-2030	120	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
Yet to be placed	Non-convertible debenture	NA	NA	NA	430.0	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
INE0AD508018	Subordinated debt programme	Jul-17-2025	8.13%	Jul-16-2032	100.0	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
INE0AD508026	Subordinated debt programme	Nov-06-2025	8.05%	Oct-29-2032	150.0	[ICRA]AA+; Rating Watch with Developing Implications	SEBI
NA	Long-term/Short-term fund-based/Non-fund based bank lines	FY2021	NA	FY2030	14,000.0	[ICRA]AA+; Rating Watch with Developing Implications/ [ICRA]A1+	RBI
Yet to be placed	Commercial paper	NA	NA	7-365 days	2,000.0	[ICRA]A1+	RBI
INE0AD507150	Non-convertible debenture	Jul-31-2025	7.73%	Aug-31-2026	250	[ICRA]AA+; Rating Watch with Developing Implications and withdrawn	SEBI
INE0AD507135	Non-convertible debenture	Jul-31-2025	7.73%	Dec-28-2028	2.5	[ICRA]AA+; Rating Watch with Developing Implications and withdrawn	SEBI

Source: Company;; [^] As on August 31, 2026 for Bank Lines and as on September 14, 2026 for other instruments

The Securities and Exchange Board of India's (SEBI) grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments that fall under the regulatory purview of financial sector regulators other than SEBI

[Please click here to view details of lender-wise facilities rated by ICRA](#)

Annexure II: List of entities considered for consolidated analysis

Not applicable

ANALYST CONTACTS

Ashish Modani

+91 22 61693358

ashish.modani@icraindia.com

Sachin Sachdeva

+91 22 4545307

sachin.sachdeva@icraindia.com

Rajat Kher

+91 124 4545833

rajat.kher@icraindia.com

Shivam Nichat

+91 22 61143448

shivam.nichat@icraindia.com

Atharva Pednekar

+91 22 61143438

atharva.pednekar@icraindia.com

RELATIONSHIP CONTACT

L. Shivakumar

+91 22 6114 3406

shivakumar@icraindia.com

<mailto:https://outlook.office.com/mail/>

MEDIA AND PUBLIC RELATIONS CONTACT

Ms. Naznin Prodhani

Tel: +91 124 4545 860

communications@icraindia.com

HELPLINE FOR BUSINESS QUERIES

+91-9354738909 (open Monday to Friday, from 9:30 am to 6 pm)

info@icraindia.com

ABOUT ICRA LIMITED

ICRA Limited was set up in 1991 by leading financial/investment institutions, commercial banks and financial services companies as an independent and professional investment information and credit rating agency.

Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international credit rating agency Moody's Investors Service is ICRA's largest shareholder.

For more information, visit www.icra.in

ICRA Limited



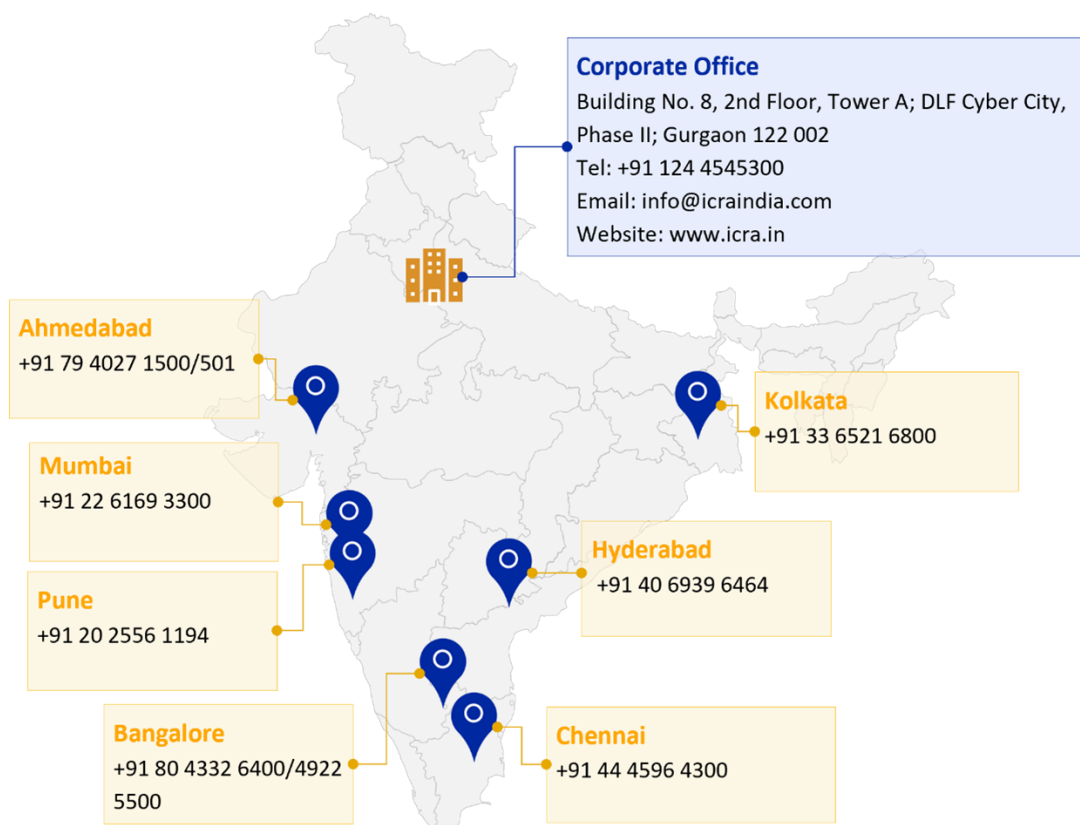
Registered Office

B-710, Statesman House, 148 Barakhamba Road, New Delhi-110001

Tel: +91 11 23357940-45



Branches



© Copyright, 2026 ICRA Limited. All Rights Reserved.

Contents may be used freely with due acknowledgement to ICRA.

ICRA ratings should not be treated as recommendation to buy, sell or hold the rated debt instruments. ICRA ratings are subject to a process of surveillance, which may lead to revision in ratings. An ICRA rating is a symbolic indicator of ICRA's current opinion on the relative capability of the issuer concerned to timely service debts and obligations, with reference to the instrument rated. Please visit our website www.icra.in or contact any ICRA office for the latest information on ICRA ratings outstanding. All information contained herein has been obtained by ICRA from sources believed by it to be accurate and reliable, including the rated issuer. ICRA however has not conducted any audit of the rated issuer or of the information provided by it. While reasonable care has been taken to ensure that the information herein is true, such information is provided 'as is' without any warranty of any kind, and ICRA in particular, makes no representation or warranty, express or implied, as to the accuracy, timeliness or completeness of any such information. Also, ICRA or any of its group companies may have provided services other than rating to the issuer rated. All information contained herein must be construed solely as statements of opinion, and ICRA shall not be liable for any losses incurred by users from any use of this publication or its contents.